

QUANTIUM VIRTUAL EXPERIENCE PROGRAM

Chip Category Strategy Report

Customer Insights & Trial Store Analysis

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Prepared for: Julia (Category Manager, Chips)

Period: July 2018 – June 2019

Agenda

01

Context & Objectives

Why this analysis was conducted and what questions we set out to answer

02

Customer Segment Insights

Who buys chips, which segments spend the most, and what they prefer

03

Trial Store Assessment

How trial stores 77, 86, and 88 performed against matched control stores

04

Recommendations & Next Steps

Strategic actions Julia can take for the next half-year category plan

01

Context & Objectives

The Brief

Julia, Category Manager for Chips, commissioned Quantum to analyse purchasing behaviour and trial store performance to inform the next half-year strategic plan.

Data Scope

245,302 chip transactions across 264 stores, July 2018 – June 2019. 71,185 unique customers segmented by lifestage and spending tier.

Key Questions

Who are the highest-value chip customers? Which brands and pack sizes do they prefer? Did the trial store layout drive measurable uplift?

Overall Chip Category Performance

\$1.80M

Total Chip Sales

71,185

Unique Customers

\$25.26

Avg Spend / Customer

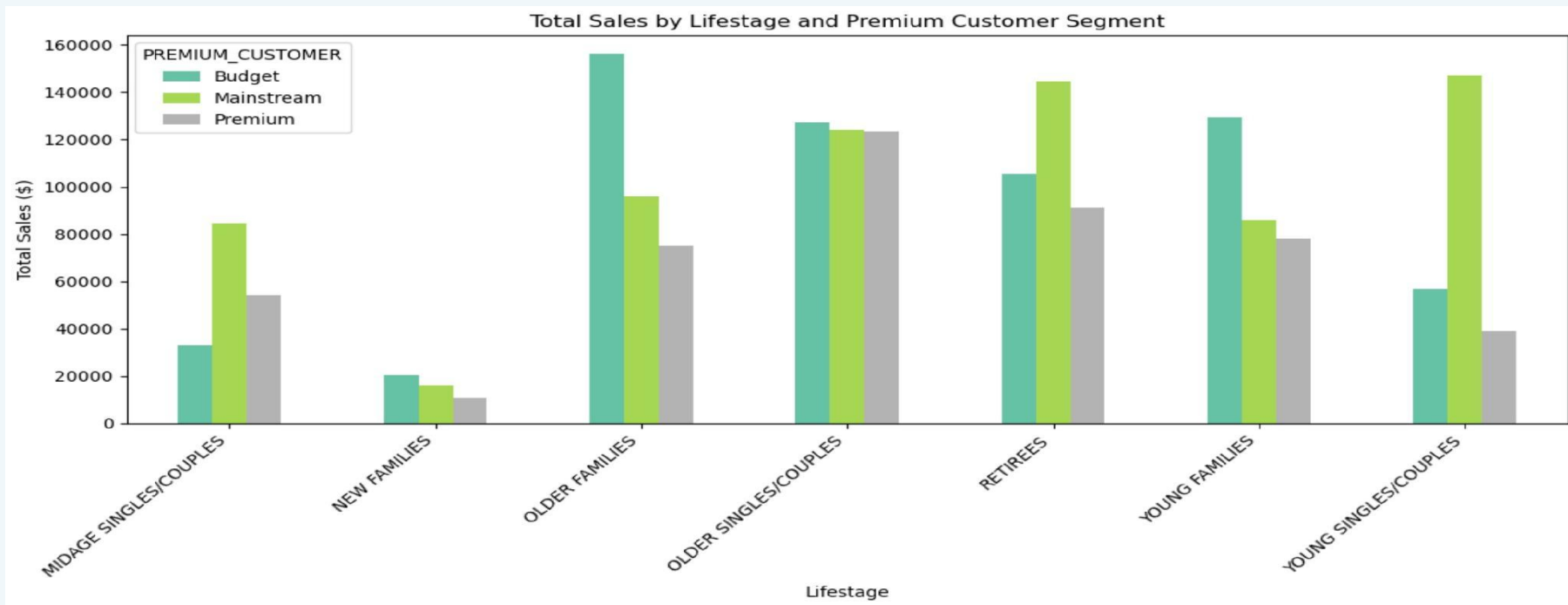
3.43

Avg Transactions / Customer

Key Observation

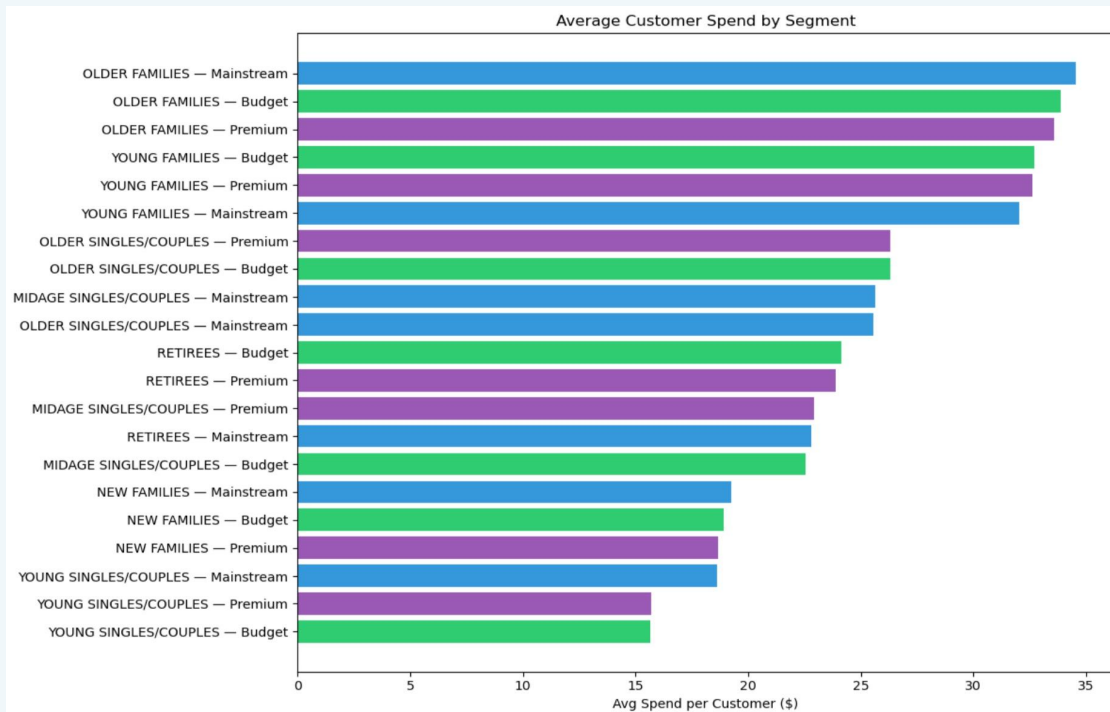
Of the 72,637 customers in the loyalty database, 71,185 made at least one chip purchase during the year — a 98% active participation rate in the category, indicating strong category relevance across the customer base.

Total Sales by Lifestage and Spending Tier



Older Families (Budget) generate the highest total chip sales at \$156K, followed by Young Singles/Couples (Mainstream) at \$147K and Retirees (Mainstream) at \$145K.

Average Spend Per Customer by Segment



Families lead per-head spend

Older Families (Mainstream) spend \$34.53 per customer — the highest of all 21 segments.

Volume ≠ Value

Young Singles/Couples (Mainstream) rank 2nd in total sales but 19th in avg spend at just \$18.62.

Purchase frequency

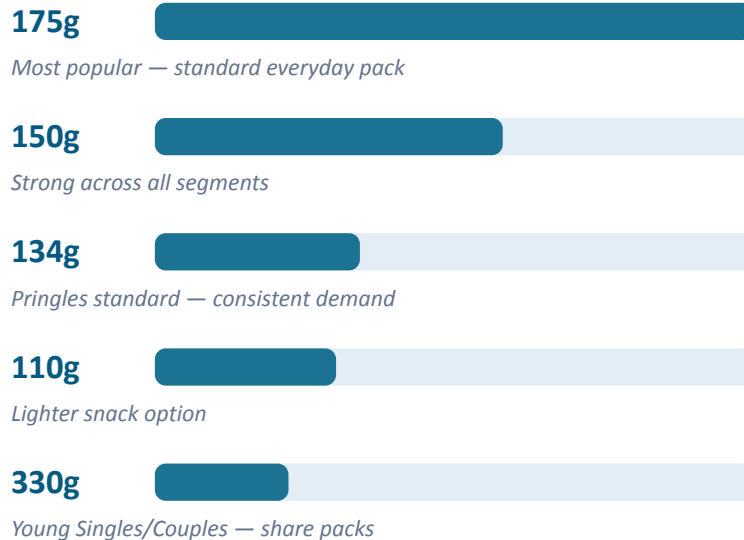
Family segments average 4.4–4.7 transactions each vs 2.3–2.5 for Young Singles/Couples.

Brand & Pack Size Preferences by Segment

Top Brands

- | | | |
|----|---------------|------------------------------------|
| 1 | Kettle | Dominant across ALL segments |
| 2 | Smiths | Strong with families |
| 3 | Doritos | Preferred by Young Singles/Couples |
| 4 | Pringles | Consistent across segments |
| 5 | Red Rock Deli | Family favourite |
| 5* | Infuzions | Young Singles/Couples only |

Top Pack Sizes



Trial Store Assessment

Store 77

vs Control 233

Control match:
Strong (0.97)

Sales uplift:
+33.5%

Customer uplift:
+29.1%

POSITIVE

Store 86

vs Control 155

Control match:
Moderate (0.91)

Sales uplift:
+8.5%

Customer uplift:
+12.7%

MODERATE

Store 88

vs Control 237

Control match:
Weak (0.77)

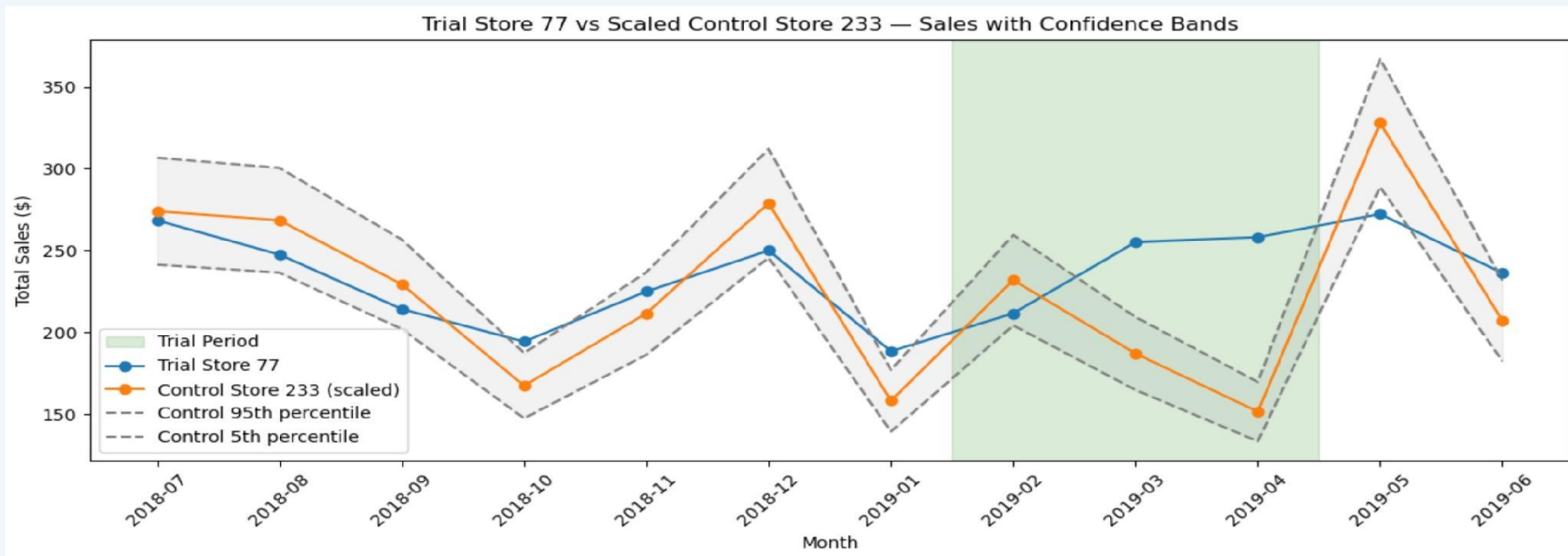
Sales uplift:
+13.2%

Customer uplift:
+6.6%

POSITIVE*

** Store 88 result should be interpreted with caution due to weaker control store match*

Store 77 vs Control Store 233

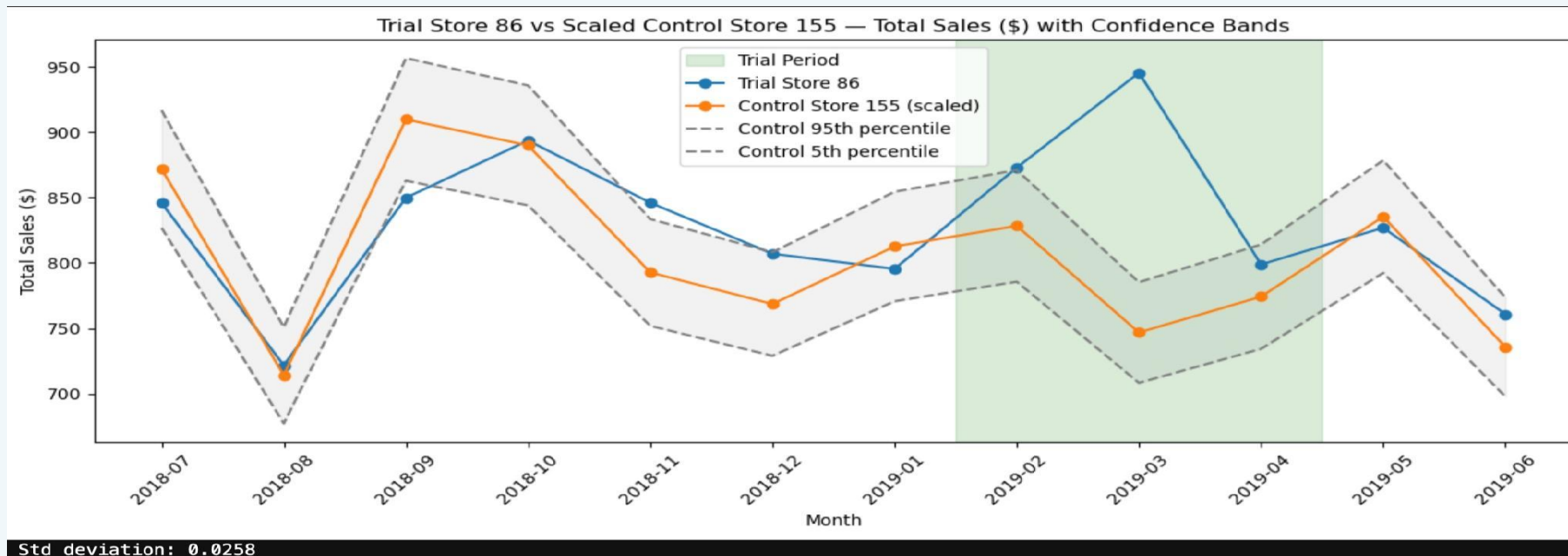


Sales significant in 2/3 trial months

Customers significant in 2/3 trial months

Strongest result of all 3 stores

Store 86 vs Control Store 155

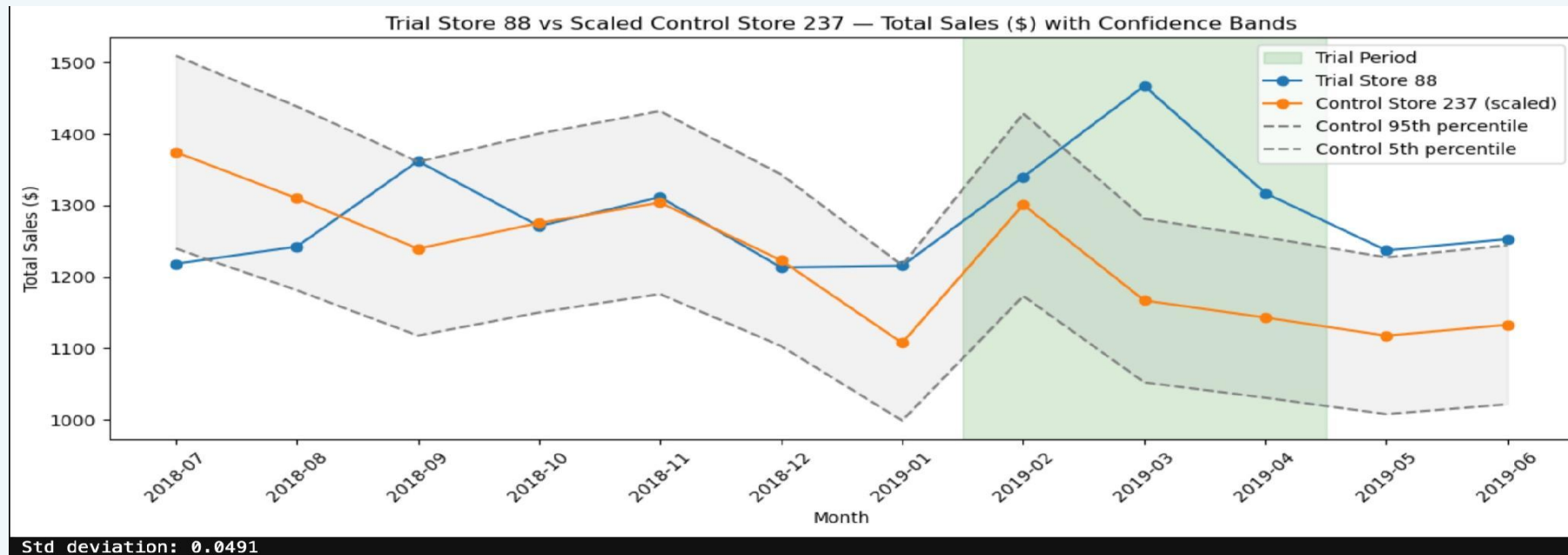


Sales significant in 1/3 trial months

Customers significant in 2/3 trial months

More customers, not more revenue — worth investigating

Store 88 vs Control Store 237



Sales significant in 1/3 trial months

Customers significant in 1/3 trial months

Weakest control match — interpret with caution

Recommendations & Next Steps

1

Prioritise Older and Young Families

Highest avg spend (\$32–\$35) and purchase frequency (4.4–4.7 txns). Focus shelf visibility and promotions on 175g and 150g Kettle and Smiths packs in family-oriented locations.

3

Grow Young Singles/Couples Mainstream

Large segment (7,908 customers) driving volume. Target with Doritos and Infuzions promotions. Consider multipack offers to increase basket size.

2

Retain Retirees and Older Singles/Couples

Moderate spend (~\$24–\$26) with a large, reliable customer base. Suitable audience for loyalty and retention campaigns.

4

Roll out trial layout — prioritise stores like Store 77

Store 77 delivered the strongest, most reliable uplift. Recommend rollout to stores with a similar customer and sales profile. Investigate Store 86 pricing before wider deployment.

Thank You

Quantum Retail Analytics | Chip Category Strategy Report

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github.com/HarjiiBoss